ICICI Bank

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Track: Track A — Banking, NBFCs & Financial Services
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NSE: ICICIBANK · Yahoo: ICICIBANK.NS · Panel: Sep-2023 to Jun-2026 (12 quarters) · Finding the Next Signal — ATMOS 2026

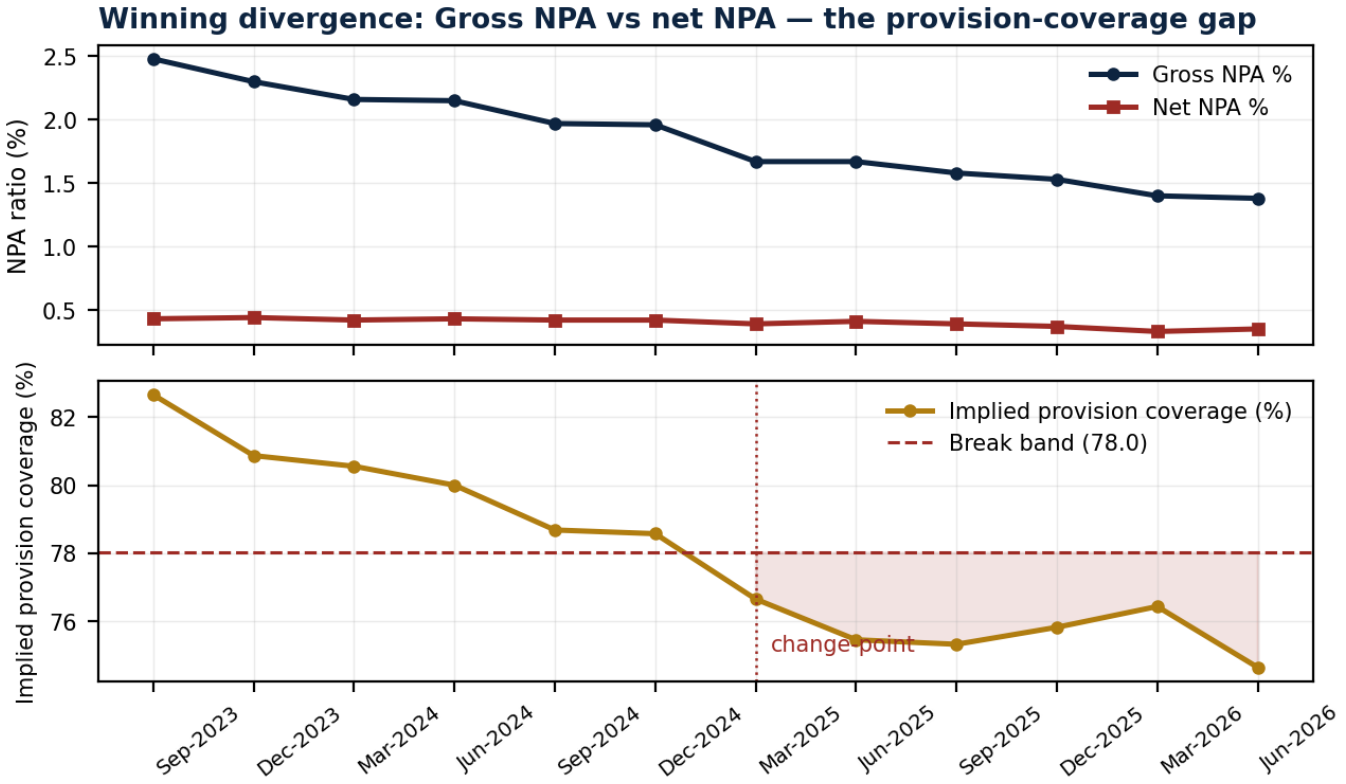
THE DISCOVERY — ICICI Bank's headline asset quality looks healed -- gross NPA is down from 2.48% (Sep-2023; panel peak 2.48% in Sep-2023) to 1.38% (Jun-2026) -- but the cushion underneath it has thinned: the provision coverage implied by the bank's own GNPA/NNPA pair has spent 6 straight quarters below its early-panel band, sliding from 82.7% to 74.6%, and net NPA has improved far less than the gross ratio -- down just 0.08pp to 0.35% against 1.10pp on the gross side (first-year net range 0.42-0.44%). The gross improvement is real; part of it is being carried by a thinner buffer, not only by cleaner loans.

Evidence strength: MODERATE — 2 independent source classes; divergence persists 6 quarters. Not Strong: the primary numeric trail is a single aggregator parse of the statutory results, and the strongest counterargument cannot be fully separated from public quarterly data.

1 WHY IT MATTERS

- Provision coverage is the shock absorber between slippages and the P&L. The uncovered share of gross stress has risen from 17.3% to 25.4% of GNPA: of every Rs 100 of new gross stress, Rs 25 now lands on the P&L uncovered, against Rs 17 at the start of the panel.
- Headline GNPA is the number most trackers anchor on. The GNPA/NNPA pair tells a quieter story: the latest quarter pairs a net NPA reading in the lower half of the panel range (0.35%, first-year range 0.42-0.44%, panel peak 0.44% in Dec-2023) with the panel's thinnest implied coverage -- the stock of protection per rupee of bad loans is at its low exactly when the headline looks its best.
- Coverage this thin embeds a choice about future earnings. If slippages merely normalise, the bank must either rebuild coverage (a direct P&L drag, quarter after quarter) or let net NPA climb (the headline it has spent years improving). Either path reprices the earnings quality the market currently capitalises.
- The drift is slow and persistent rather than a one-quarter event -- implied coverage has been below its early-panel band for 6 consecutive quarters -- which makes it a structural balance-sheet choice, not provisioning noise.

2 NUMBERS — Gross NPA vs net NPA — the provision-coverage gap



Quarter	Gross NPA %	Net NPA %	Implied PCR %	NII (Rs cr)	Net profit (Rs cr)
Sep-2023	2.48	0.43	82.7	18,308	10,261
Dec-2023	2.30	0.44	80.9	18,679	10,272
Mar-2024	2.16	0.42	80.6	19,092	10,708
Jun-2024	2.15	0.43	80.0	19,553	11,059
Sep-2024	1.97	0.42	78.7	20,048	11,746
Dec-2024	1.96	0.42	78.6	20,371	11,792
Mar-2025	1.67	0.39	76.6	21,193	12,630
Jun-2025	1.67	0.41	75.4	21,635	12,768
Sep-2025	1.58	0.39	75.3	21,530	12,359
Dec-2025	1.53	0.37	75.8	21,932	11,318
Mar-2026	1.40	0.33	76.4	22,979	13,702
Jun-2026	1.38	0.35	74.6	24,385	14,804

Implied provision coverage (PCR) = (GNPA − NNPA) / GNPA, computed by the engine from the reported ratio pair; it approximates the disclosed PCR (technical write-offs are excluded from disclosed PCR, so small gaps are expected). Persistence of the winning divergence: **6 quarters**; engine score **12.4** (persistence × |drift| / σ). Band: implied PCR below 78.0% (first-4-quarter mean 81.0% minus 3pp) counts as a break.

Also flagged by the scan (not headlined): Interest cost burden — funding-cost relief — persistence 3 qtrs, score 4.2; Revenue growth vs net-profit growth — persistence 2 qtrs, score 0.5.

Funding-mix context (annual, Screener balance sheet): Mar 2023: borrowings were 10.1% of deposits; Mar 2024: borrowings were 8.8% of deposits; Mar 2025: borrowings were 7.7% of deposits; Mar 2026: borrowings were 7.0% of deposits — borrowings as a share of deposits across the most recent fiscal years; a falling share means growth is being funded by the deposit franchise rather than wholesale borrowing.

3 TIMELINE — WHEN THE RELATIONSHIP BROKE

Sep-2023	Panel opens: GNPA 2.48%, NNPA 0.43%, implied coverage 82.7%.
Dec-2023	Net NPA peaks at 0.44% -- the net ratio's high does not coincide with sustained coverage; the pair visibly decouples.

Mar-2025	Change-point: implied coverage crosses below its early-panel band and stays below it for the rest of the panel (a run of 6 quarters).
Jun-2026	Latest quarter: GNPA 1.38%, NNPA 0.35%, implied coverage 74.6% -- a 6-quarter run below the band.

4 EVIDENCE — AUDITABLE TRAIL

- [b] **Quarterly panel: revenue, interest, expenses, other income, net profit, GNPA %, NNPA %**
  Screener.in -- ICICI Bank standalone quarterly results table (public rendering of statutory results) — https://www.screener.in/company/ICICIBANK/
  Parsed live: 13 quarters on the standalone page; the panel uses the most recent 12. Latest quarter in panel: net profit Rs 14,804 cr, GNPA 1.38%, NNPA 0.35%.
- [b] **Basis consistency: standalone and consolidated parses cover the same quarters**
  Screener.in -- ICICI Bank consolidated quarterly results table — https://www.screener.in/company/ICICIBANK/consolidated/
  Consolidated parse returned 13 quarters x 14 metrics; quarter labels agree with the standalone parse on all 13 overlapping quarters (full agreement). The panel itself is built on the standalone basis throughout.
- [d] **Jun-2026 figures corroborated independently of the parse**
  NDTV Profit -- 'ICICI Bank Q1 Results: Profit, NII, Margins Beat Street Estimates; Asset Quality Improves' — https://www.ndtvprofit.com/markets/icici-bank-q1-results-profit-nii-margins-beat-street-estimates-asset-quality-improves-11788141
  Reports standalone PAT Rs 14,804 cr (+16% YoY, from Rs 12,768 cr), NII Rs 24,385 cr (from Rs 21,635 cr), GNPA 1.38%, NNPA 0.35% for Q1 FY27; NIM 4.36%. The year-ago base figures (PAT Rs 12,768 cr, NII Rs 21,635 cr) also match the panel's Jun-2025 row exactly. Pipeline check on the latest quarter -- net profit: reported Rs 14,804 cr vs panel Rs 14,804 cr -- MATCH; NII: reported Rs 24,385 cr vs panel Rs 24,385 cr -- MATCH; GNPA %: reported 1.38% vs panel 1.38% -- MATCH; NNPA %: reported 0.35% vs panel 0.35% -- MATCH.
- [d] **Disclosed provision coverage, and the buffers held outside that ratio**
  Business Today -- 'ICICI Bank Q1 results: Net profit rises 15.9% to Rs 14,805 crore; asset quality stays stable' — https://www.businesstoday.in/markets/stocks/story/icici-bank-q1-results-net-profit-rises-15-9-to-rs-14805-crore-asset-quality-stays-stable-543762-2026-07-18
  The bank's disclosed provision coverage ratio on non-performing loans was 74.7% at 30 Jun 2026 (pipeline check below compares it with the panel's ratio-implied coverage). The filing also shows what sits OUTSIDE that ratio: contingency provisions of Rs 13,100 cr plus an additional standard-asset provision of Rs 1,283 cr (created Q3 FY26 as directed by the RBI for the agricultural priority-sector portfolio); total provisions of Rs 22,963 cr outside specific provisions, ~1.4% of the loan book. Gross NPA additions were Rs 5,552 cr in the quarter, write-offs Rs 1,673 cr, and provisions (ex-tax) fell to Rs 1,260 cr from Rs 1,815 cr a year earlier. Pipeline check on the latest quarter -- disclosed PCR: reported 74.70% vs panel 74.64% -- MATCH.
- [d] **Absolute net NPA stock essentially flat YoY; capital position**
  Financial Express -- 'ICICI Bank Q1FY27 results: Net profit up 16%, net NPAs stable' — https://www.financialexpress.com/business/industry-icici-bank-q1fy27-results-net-profit-up-16-net-npas-stable-4295555/?ref=articlehyperlinking
  Net NPA stock Rs 5,908.27 cr at Jun-2026 against Rs 5,971.09 cr a year earlier -- the net bad-loan stock is essentially flat year-on-year even as the gross ratio fell from 1.67% to 1.38%. Total capital adequacy 16.84%; advances Rs 16,31,260 cr (+19.6% YoY); deposits Rs 18,33,586 cr (+14% YoY).
- [calc] **Implied provision coverage = (GNPA% - NNPA%) / GNPA%, computed per quarter**
  DIVERGENCE metric engine (pandas) over the parsed panel — https://github.com/millerthehacker22307/divergence-financial-research-agent
  Deterministic identity applied to reported ratios; reproducible from examples/panel_ICICIBANK.csv committed with this note's run.
- [ctx] **Market context: share price over the panel window**
  Yahoo Finance -- ICICIBANK.NS monthly closes — https://finance.yahoo.com/quote/ICICIBANK.NS
  Fetched via yfinance; latest monthly close Rs 1,389. Context only -- class 'ctx' never counts toward the evidence-strength grade.

5 COUNTERARGUMENT — THE STRONGEST CASE AGAINST

The strongest alternative reading is mix and mechanics, not hidden stress. A book weighted toward secured lending (mortgages, LAP, auto and other collateralised retail) carries low expected loss-given-default, so a lower coverage ratio can be economically rational; technical write-offs of fully-provided legacy accounts mechanically compress both GNPA and the implied coverage without any new stress; and banks of this profile typically also hold floating and contingent provisions outside this ratio, which the pair

cannot see. On this reading the 'thinning cushion' is an accounting artefact of a safer, more secured book, and the latest quarter still shows a net NPA reading in the lower half of the panel range (0.35%). The pipeline cannot fully separate mix from stress with public quarterly data alone -- which is why the finding is not graded Strong.

6 FALSIFICATION CONDITION

This finding is retired if, for two consecutive quarters, implied provision coverage rises back to >= 81% (its early-panel average) while GNPA stays at or below 1.38% (the buffer is being rebuilt), OR net NPA reaches a new panel low (<= 0.33%) while implied coverage is flat or rising for two consecutive quarters (net stress genuinely clearing without thinning the buffer). It is also retired if the bank discloses that the coverage decline is wholly explained by technical write-offs of 100%-provided accounts whose recoveries are tracking at or above LGD assumptions.

Method & scope (MVP): one pipeline run on one Track A company, produced end-to-end by the code in this repository — panel built from public Screener.in renders of the statutory results (standalone basis; the panel is the most recent 12 quarters, with one-off-contaminated quarters flagged mechanically), cross-checked against independent filing coverage; Yahoo Finance price history is fetched as market context only. The full system (filing-PDF parsing, peer panel, every Track A company) is the finals build described in the Round 1 report. All figures are reproducible from the committed panel CSV. This note is a research hypothesis with a stated falsification condition — **not investment advice**.